

1 ENGROSSED HOUSE
2 BILL NO. 4488

By: Townley of the House

3 and

4 Hamilton of the Senate
5

6 [insurance - motor vehicle - total loss or damage
7 claim - appraisal process - motor vehicle insurance
8 policies - disputes - codification - effective date
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13 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

14 SECTION 1. AMENDATORY 36 O.S. 2021, Section 1250.8, is
15 amended to read as follows:

16 Section 1250.8. A. If an insurance policy or insurance
17 contract provides for the adjustment and settlement of first-party
18 motor vehicle total losses, on the basis of actual cash value or
19 replacement with another of like kind and quality, one of the
20 following methods shall apply:

21 1. An insurer may elect to offer a replacement motor vehicle
22 which is a specific comparable motor vehicle available to the
23 insured, with all applicable taxes, license fees, and other fees
24 incident to the transfer of evidence of ownership of the motor

1 vehicle paid, at no cost to the insured other than any deductible
2 provided in the policy. The offer and any rejection thereof shall
3 be documented in the claim file; or

4 2. An insurer may elect a cash settlement based upon the actual
5 cost, less any deductible provided in the policy, to purchase a
6 comparable motor vehicle, including all applicable taxes, license
7 fees and other fees incident to a transfer of evidence of ownership,
8 or a comparable motor vehicle. Such cost may be determined by:

- 9 a. the cost of a comparable motor vehicle in the local
10 market area when a comparable motor vehicle is
11 currently or recently available in the prior ninety
12 (90) days in the local market area,
- 13 b. one of two or more quotations obtained by an insurer
14 from two or more qualified dealers located within the
15 local market area when a comparable motor vehicle is
16 not available in the local market area, or
- 17 c. the cost of a comparable motor vehicle as quoted in
18 the latest edition of the National Automobile Dealers
19 Association Official Used Car Guide or monthly edition
20 of any other nationally recognized published
21 guidebook.

22 B. If a first-party motor vehicle total loss is settled on a
23 basis which deviates from the methods described in subsection A of
24 this section, or the process outlined in Section 2 of this act, the

1 deviation shall be supported by documentation giving particulars of
2 the condition of the motor vehicle. Any deductions from such cost,
3 including, but not limited to, deduction for salvage, shall be
4 measurable, discernible, itemized and specified as to dollar amount
5 and shall be appropriate in amount. The basis for such settlement
6 shall be fully explained to a first-party claimant.

7 C. If liability for motor vehicle damages is reasonably clear,
8 insurers shall not recommend that third-party claimants make claims
9 pursuant to the third-party claimants' own policies solely to avoid
10 paying claims pursuant to such insurer's insurance policy or
11 insurance contract.

12 D. Insurers shall not require a claimant to travel unreasonably
13 either to inspect a replacement motor vehicle, obtain a repair
14 estimate or have the motor vehicle repaired at a specific repair
15 shop.

16 E. Insurers shall, upon the request of a claimant, include the
17 deductible of a first-party claimant, if any, in subrogation
18 demands. Subrogation recoveries shall be shared on a proportionate
19 basis with a first-party claimant, unless the deductible amount has
20 been otherwise recovered. No deduction for expenses shall be made
21 from a deductible recovery unless an outside attorney is retained to
22 collect such recovery. The deduction shall then be made for only a
23 pro rata share of the allocated loss adjustment expense.

1 F. If an insurer prepares an estimate of the cost of automobile
2 repairs, such estimate shall be in an amount for which it reasonably
3 may be expected that the damage can be repaired satisfactorily. An
4 insurer shall give a copy of an estimate to a claimant and may
5 furnish to the claimant the names of one or more conveniently
6 located repair shops, if requested by the claimant.

7 G. If an amount claimed is reduced because of betterment or
8 depreciation, all information for such reduction shall be contained
9 in the claim file. Such deductions shall be itemized and specified
10 as to dollar amount and shall be appropriate for the amount of
11 deductions.

12 H. An insurer or its representative shall not require a
13 claimant to obtain motor vehicle repairs at a specific repair
14 facility. An insurer or its representative shall not require a
15 claimant to obtain motor vehicle glass repair or replacement at a
16 specific motor vehicle glass repair or replacement facility. An
17 insurer shall fully and promptly pay for the cost of the motor
18 vehicle repair services or products, less any applicable deductible
19 amount payable according to the terms of the policy. The claimant
20 shall be furnished an itemized priced statement of repairs by the
21 repair facility at the time of acceptance of the repaired motor
22 vehicle. Unless a cash settlement is made, if a claimant selects a
23 motor vehicle repair or motor vehicle glass repair or replacement
24 facility, the insurer shall provide payment to the facility or

1 claimant based on a competitive price, as established by that
2 insurer through market surveys or by the insured through competitive
3 bids at the insured's option, to determine a fair and reasonable
4 market price for similar services. Reasonable deviation from this
5 market price is allowed based on the facts in each case.

6 I. An insurer shall not use as a basis for cash settlement with
7 a first-party claimant an amount which is less than the amount which
8 an insurer would pay if repairs were made, other than in total loss
9 situations, unless such amount is agreed to by the insured.

10 J. An insurer shall not force a claimant to execute a full
11 settlement release in order to settle a property damage claim
12 involving a personal injury.

13 K. All payment or satisfaction of a claim for a motor vehicle
14 which has been transferred by title to the insurer shall be paid by
15 check, draft or electronic payment, payable on demand.

16 L. In the event of payment of a total loss to a third-party
17 claimant, the insurer shall include any registered lienholder as
18 copayee to the extent of the lienholder's interest.

19 M. As used in this section, "total loss" means that the vehicle
20 repair costs plus the salvage value of the vehicle meets or exceeds
21 the actual cash value of the motor vehicle prior to the loss, as
22 provided in used automobile dealer guidebooks.

23 N. An insurer shall not offer a cash settlement as provided in
24 paragraph 2 of subsection A of this section for the purchase of a

1 comparable motor vehicle and then subsequently sell the motor
2 vehicle which has been determined to be a total loss back to the
3 claimant if the insurer has determined that the repair of the
4 vehicle would not result in the vehicle being restored to operative
5 condition as provided in Section 1111 of Title 47 of the Oklahoma
6 Statutes unless the claimant specifies in writing or via an
7 electronic signature that the claimant understands that the motor
8 vehicle shall be titled as a "junked vehicle".

9 SECTION 2. NEW LAW A new section of law to be codified
10 in the Oklahoma Statutes as Section 1250.8a of Title 36, unless
11 there is created a duplication in numbering, reads as follows:

12 A. As used in this section:

13 1. "Appraiser" means a person selected by the insurer or the
14 insured to place a value on or estimate the amount of loss under an
15 appraisal clause in an insurance contract;

16 2. "Competent" means the person has subject matter expertise,
17 relevant training, and experience to make decisions and valuations
18 relating to the amount of loss; and

19 3. "Disinterested" means the person does not have a direct
20 financial interest in the outcome of the appraisal process.

21 B. Every motor vehicle insurance policy that includes first-
22 party coverage for physical damage issued or renewed effective on or
23 after January 1, 2027, shall include a provision for the right to an
24 appraisal to resolve disputes between the insurer and the insured

1 regarding the actual cash value and amount of loss on the damaged
2 automobile. The appraisal clause shall include the following
3 language, or corresponding language that the insurer certifies is at
4 least as favorable to the insured:

5 "1. If you and we fail to agree on the amount of loss, either
6 party may make written demand for an appraisal;

7 2. Each party will select an appraiser and notify the other
8 party of the identity of each appraiser within twenty (20) days
9 after the demand is received;

10 3. The appraisers will select a competent and impartial umpire;

11 4. If the appraisers are unable to agree upon an umpire within
12 fifteen (15) days after receiving notice of the identity of the
13 appraisers pursuant to item 2. above, you or we can ask a judge of a
14 court of record in the county where your residence is located to
15 select an umpire;

16 5. The appraisers shall then appraise the loss and submit to us
17 written reports stating separately the loss to each item;

18 6. If the reports of the appraisers are in agreement, we will
19 pay the agreed upon amount;

20 7. If the appraisers cannot agree, they will submit reports to
21 the umpire, and we will pay the amount agreed upon by any two; and

22 8. Each party will pay the appraiser it has chosen and will pay
23 an equal share of the expenses for the umpire and all other expenses
24 of the appraisal."

1 C. Neither party may demand an appraisal until ten (10) days
2 after the insurer receives notification of the claim.

3 SECTION 3. This act shall become effective November 1, 2026.

4 Passed the House of Representatives the 25th day of March, 2026.

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Presiding Officer of the House
of Representatives

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Passed the Senate the ____ day of _____, 2026.

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Presiding Officer of the Senate

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